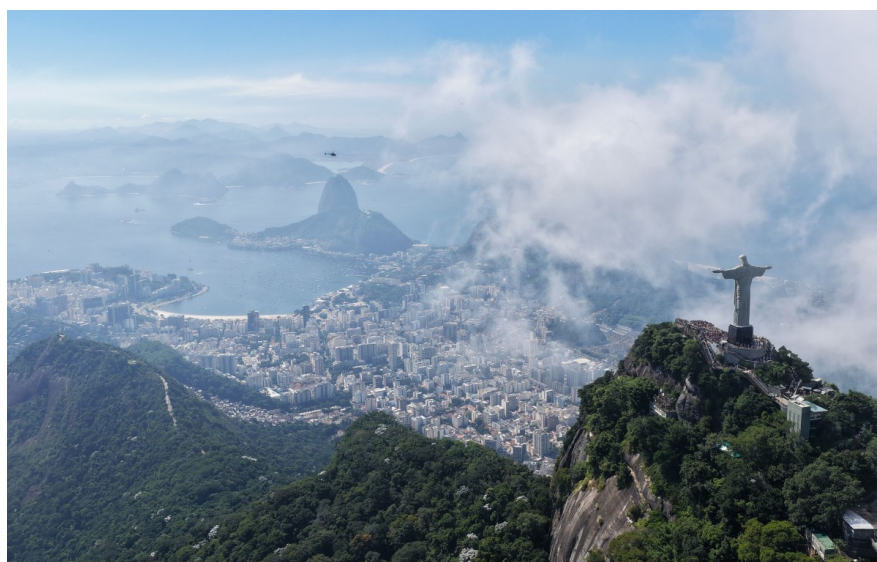


Latam FX Talking: Revising easing expectations

Markets have lost conviction on lower rates in Brazil and Mexico of late. In the former, cuts are still expected but may be limited to a 13.75% policy rate, while Banxico's easing cycle appears to be over. Aside from borrowed volatility from the Gulf, elections in Brazil and USMCA renegotiations in Mexico remain key risks into the summer



Latam FX is seen as a relative safe haven from geopolitics, and high yields should insulate the Brazilian real

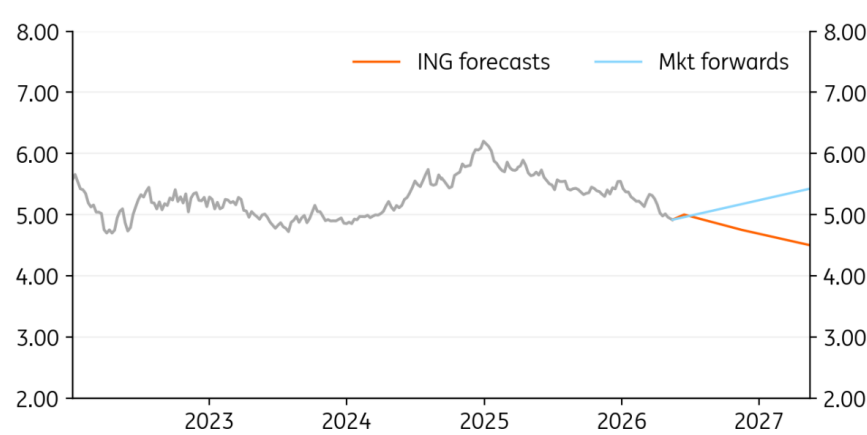
Main ING Latam FX Forecasts

	USD/BRL	USD/MXN	USD/CLP
1M	5.00 ↓	17.25 ↓	900 ↓
3M	4.90 ↓	17.50 ↓	875 ↓
6M	4.75 ↓	17.50 ↓	875 ↓
12M	4.50 ↓	17.25 ↓	875 ↓

USD/BRL: Politics rears its ugly head

	Spot	One month bias	1M	3M	6M	12M
USD/BRL	4.99	Neutral	5.00	4.90	4.75	4.50

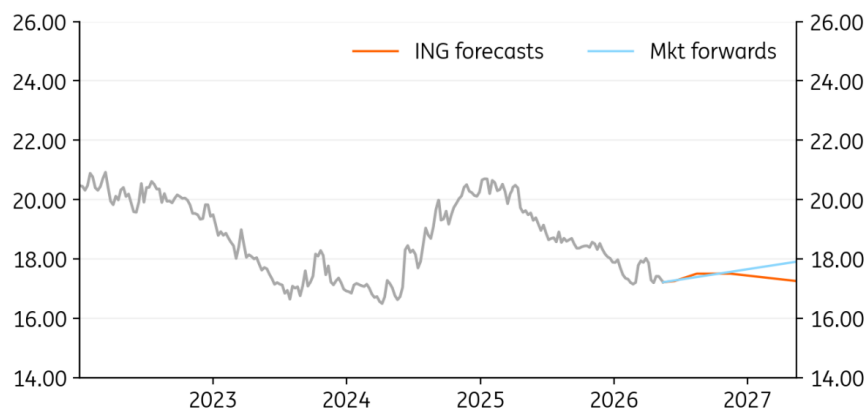
- The BRL has been one of the top performers, buoyed by high real rates, elevated implied yields (13% p.a.) for carry and its net energy exports. The question now is whether authorities want to slow the BRL rally? Recently they've allowed \$0.5bn of their \$90bn+ short dollar forward book to roll off.
- Presidential candidates Lula and Bolsonaro are neck-and-neck in the polls ahead of October elections. Bolsonaro has recently been embarrassed by links to the man behind the Banco Master fraud scandal, but there is no suggestion of illegality.
- The central bank is still happy to cut rates. But an expected easing cycle to the 12% area has been scaled back to 13.75%.



USD/MXN: Banxico easing cycle is over

	Spot	One month bias	1M	3M	6M	12M
USD/MXN	17.3300	Neutral	17.25	17.50	17.50	17.25

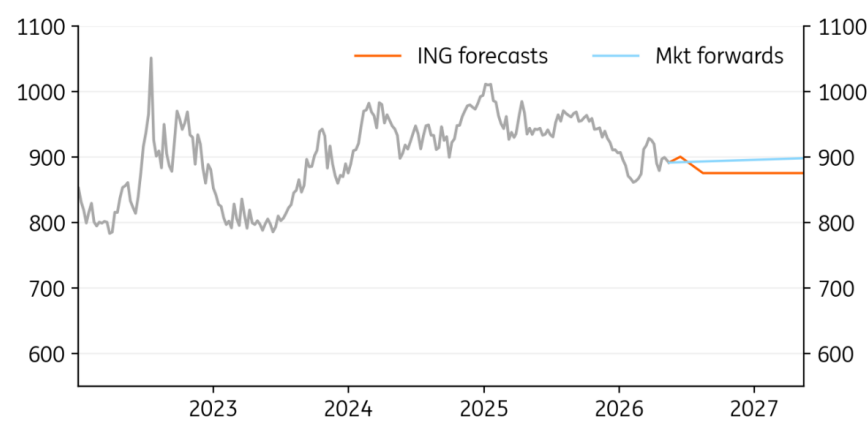
- Banxico's 25bp rate cut to 6.50% in May generated two dissenters for unchanged rates. The statement points to comfort with unchanged rates now and the market prices around 100bp of tightening over the next twelve months. Real rates at 2%+ leave the peso reasonably sheltered during the current inflation shock. And Banxico's views of weak domestic demand suggest the risks of second-round effects are limited.
- That leaves MXN as a relative EM high-yielder. But we doubt local authorities want USD/MXN to trade substantially under 17.00 – having previously covered short FX positions there.
- USMCA renegotiation this summer could cause MXN volatility.



USD/CLP: Copper rally offsets the energy shock

	Spot	One month bias	1M	3M	6M	12M
USD/CLP	896.4700	Neutral	900.00	875.00	875.00	875.00

- As a net energy importer, the peso was hit in March. But now the big rally in copper means that Chile’s terms of trade are at their highs of the year. Our commodity team’s view is that this copper rally may peak this summer ahead of a US ruling on refined copper products. And Chile’s production may be hit later in the year on sulphuric acid shortages.
- The macro story might be a little CLP bearish in that the new right-wing government is looking to scale back on public expenditure. The central bank would like to cut rates if it can.
- New government policies and a corporate tax cut may help investment, but ultimately copper’s path will dominate CLP.



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